INVESTMENT ANALYSIS, RECOMMENDATIONS, AND ACTIONS

Learning Outcomes

- evaluate practices, policies, and conduct relative to the CFA Institute Code of Ethics and Standards of Professional Conduct
- explain how the practices, policies, and conduct do or do not violate the CFA Institute Code of Ethics and Standards of Professional Conduct

Diligence and Reasonable Basis

Members and Candidates must:

1. Exercise diligence, independence, and thoroughness in analyzing investments, making investment recommendations, and taking investment actions.

2. Have a reasonable and adequate basis, supported by appropriate research and investigation, for any investment analysis, recommendation, or action.

Harrel and Chong

Corix Bioscience is a startup company in the manufacturing and distribution of cannabidiol (CBD) products. To promote the company, the Corix CEO hires Harrel, an independent research analyst and CFA Program candidate, to write and distribute a research report on the company. The CEO tells Harrel the following:

- Corix has an agreement with indigenous tribes that allows it to access tribal lands for commercial hemp and cannabis farming and to sell hemp and cannabis products in retail outlets on tribal lands.
- Corix has a certificate of compliance from the national regulator that permits the company to transport, process, and export industrial hemp products.
- The prior year's harvest of hemp exceeded expectations in both quality and quantity, resulting in a substantial inventory of product.

Harrel includes all this information in a research report and provides a positive analysis of the company. However, Corix does not have agreements with indigenous tribes, nor does it have regulatory approval—the certificate of compliance is a forgery—and Corix never cultivated or harvested significant quantities of commercial hemp.

Chong, a CFA charterholder and research analyst at Nature's Harvest Investment Management (NHIM), incorporates the information and conclusions from Harrel's research report into his own research on Corix and includes a "buy" recommendation on the company. Chong's report is distributed to portfolio managers at NHIM. Corix is ultimately shown to be a fake operation, leading to substantial losses for NHIM's clients.

Which individual(s) most likely violated the CFA Institute Code and Standards?

A. Harrel only
B. Chong only
C. Both Harrel and Chong

Analysis

C is correct. Standard V(A) Diligence and Reasonable Basis states that CFA Institute members and candidates must exercise diligence and thoroughness in analyzing investments and must have a reasonable and adequate basis that is supported by appropriate research and investigation for any investment recommendation. Harrel and

information, Harrel did not exercise diligence and thoroughness in analyzing the company. Chong seemingly relied on Harrel's research to formulate his "buy" recommendation without conducting his own independent research. Investment professionals who rely on third-party research must make reasonable and diligent efforts to determine whether that research is correct. The facts do not indicate that Chong independently verified the information, critically assessed Harrel's research, or had reason to rely on Harrel's report based on past experience and familiarity with the quality of Harrel's work. In addition, Harrel works as an independent researcher and thus has no management structure that could enforce due diligence standards, which should raise concerns about the quality of Harrel's due diligence. Chong also did not recognize that Harrel's work was issuer-paid research and thus subject to increased scrutiny. NHIM should have had clear due diligence policies and procedures in place that Chong would need to follow before completing and disseminating research on behalf of the firm.

A is incorrect. Both Harrel and Chong violated the Code and Standards.

B is incorrect. Both Harrel and Chong violated the Code and Standards.

Communication with Clients and Prospective Clients

Members and Candidates must:

1. Disclose to clients and prospective clients the nature of the services provided, along with information about the costs to the client associated with those services.

2. Disclose to clients and prospective clients the basic format and general principles of the investment processes they use to analyze investments, select securities, and construct portfolios and must promptly disclose any changes that might materially affect those processes.

3. Disclose to clients and prospective clients significant limitations and risks associated with the investment process.

4. Use reasonable judgment in identifying which factors are important to their investment analyses, recommendations, or actions and include those factors in communications with clients and prospective clients.

5. Distinguish between fact and opinion in the presentation of investment analysis and recommendations.

Dukis

Dukis, CFA, is a managing director at a global credit ratings service. She is responsible for the group that assigns new issue and surveillance credit ratings to commercial mortgage-backed securities (CMBSs). To determine the ratings, Dukis and her group calculate the debt service coverage ratio (DSCR) of each security, a key quantitative metric used to rate CMBSs. Shortly after the global financial crisis, the ratings agency changes its methodology for calculating the DSCR for certain securities so that it more accurately reflects risk. Dukis's group publishes subsequent credit ratings without disclosing the change. When the new methodology is used, the securities receive higher credit ratings than they would have received if the original methodology had been used.

Dukis's actions are

A. appropriate because the new methodology more accurately reflects risk.
B. a violation of the CFA Institute Code and Standards because she did not disclose the change in methodology to the investing public.
C. appropriate because no disclosure is necessary, given that calculating DSCR is only one element in determining the overall rating of the security.

Analysis

general principles of the investment process they use to analyze investments, as well as any changes that might materially affect those processes. Ratings agencies' consistency and transparency are important to investors. If rating methodologies are not applied consistently, ratings might not be easily comparable. Similarly, without transparency, investors cannot assess the methodologies used by the credit ratings agency or the application of those methodologies, which means they cannot determine how much weight to give the rating. Dukis should have disclosed to investors the change in methodology for calculating the DSCR.

A is incorrect. Even if the new methodology does more accurately reflect risk, the change must still be communicated to investors.

C is incorrect. The DSCR is clearly a key quantitative metric used to rate the securities because the change in methodology materially affected the credit ratings by rating them higher than the original method. A change in such a key factor must be disclosed.

Record Retention

> Members and Candidates must develop and maintain appropriate records to support their investment analyses, recommendations, actions, and other investment-related communications with clients and prospective clients.

Duermott

Duermott, CFA, is president of Enhanced Investment Strategies (EIS), a small investment firm. Most clients of EIS are longtime associates of Duermott who have had their investment portfolios with the firm for decades. Because of his close personal relationship with his clients, Duermott is very familiar with their investment profile, income and retirement requirements, and risk tolerance. He keeps up with all his clients' life-changing events—such as health issues, real estate purchases, children's university expenses, and retirement—and adjusts the clients' portfolios accordingly. Duermott regularly meets with his clients at EIS's offices, and he also sees them on numerous occasions outside the office, which gives him additional opportunities to update them on their investments. EIS clients complete a client agreement and risk profile when opening their account, and those profiles are updated whenever Duermott finds the time to do so.

Duermott's business practices are

A. a violation of the CFA Institute Code and Standards.
B. acceptable because he regularly communicates with clients about their investments.
C. acceptable because he adjusts clients' investments to ensure that they are suitable for the clients' needs given their changing income and risk profile.

Analysis

A is correct. Standard V(C) Record Retention states that CFA Institute members and candidates must "develop and maintain appropriate records to support their investment analyses, recommendations, actions, and other investment-related communications with clients and prospective clients." In this case, Duermott is personally close to his clients, but he updates client records only when he "finds the time to do so," which does not appear to be promptly or regularly. Duermott has a responsibility as his clients' adviser and as the president of his company to maintain appropriate records when client circumstances change. Without necessary, relevant, and up-to-date know-your-client information, Duermott would have difficulty establishing and proving that EIS has identified the needs and circumstances of its clients and has taken them into account in recommending investments. When client circumstances, investment goals, risk tolerances, or income needs change, records should be promptly updated, and they should be reviewed regularly to document these changes.

B is incorrect. Although Duermott is fulfilling his ethical obligations as an investment manager by communicating regularly with his clients, he is not keeping regular, up-to-date client records.

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SM Duermott updates client profiles when he “finds the time to do so”. Honestly, I figured that it was quite often because he doesn't sound that busy.

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